

125 Payroll Accounting

Description & Eligibility

Contestants will apply payroll principles to calculate earnings, process withholdings, and record transactions in compliance with GAAP, tax regulations, and current laws using automated systems. Any secondary or postsecondary division contestant may enter this application event.

Contestant Must Supply

- Published and/or unpublished non-electronic written reference materials
- Sharpened pencils, pens, ruler
- Cordless calculator: Electronic devices will be monitored according to ACT standards. See NLC Calculator Guidelines. Contestants who violate this rule will be *disqualified*.
- **NOTE:** Circular E, Employer's Tax Guide (Publication 15), is recommended as a resource.
<https://www.irs.gov/publications/p15>

Equipment/Supplies Provided

- Computer and software

Competition Notes

- Method of evaluation: objective | application
- AI Policy Level 1 *No AI Allowed*
- No equipment, supplies, or materials other than those specified for an event will be allowed in the testing area
- Previous Business Professionals of America tests and/or sample tests or facsimiles (handwritten, photocopied or keyed) may not be taken into the testing area. Violation of this rule will result in disqualification.
- Length of event: no more than ten (10) minutes for orientation, no more than sixty (60) minutes for testing, and no more than ten (10) minutes for wrap-up
- Entries vary by state

Contest Competencies

1. Apply GAAP and relevant tax principles to calculate, record, and report payroll transactions and income tax obligations in compliance with current laws and ethical standards
2. Accurately complete onboarding forms and explain statutory and voluntary payroll withholdings and deductions to ensure compliance and transparency
3. Calculate and verify employee earnings across diverse pay structures, including hourly, salary, overtime, commission, piece-rate, and blended compensation models
4. Create, maintain, and secure accurate employee earnings records using digital payroll systems, ensuring data integrity, confidentiality, and compliance with legal requirements
5. Calculate employer payroll tax liabilities and employer-paid benefits in compliance with current regulations
6. Prepare payroll reports and analyze IRS payroll tax forms, applying federal tax regulations to ensure compliance with current guidelines
7. Identify and apply current federal, state, and local laws and regulations governing payroll procedures
8. Record and post payroll transactions in accounting systems to ensure accurate financial reporting
9. Generate payroll disbursements, prepare tax deposits, and maintain payroll registers using automated payroll systems

